

portfolio manager at Liberty Life.⁵² This behavior has been repeated in insurance companies acquired by various private equity firms and investment banks, including Apollo, Goldman Sachs, Harbinger, and Guggenheim.

If an insurance company goes bust, the annuities are protected, but the protection is capped and the maximum protection differs across states. In my home state of New York, the cap is \$500,000, which would be significantly below the value of annuities purchased by the average reader of this book. In California, the limit is \$250,000. Consumers can minimize this risk by choosing highly rated insurance companies, but this doesn't guarantee a risk-free annuity. AIG was considered a safe name until it was downgraded in September 2008 and then would have spiraled into bankruptcy had it not been rescued by the federal government in what was at the time the largest bailout of a private company in U.S. history. Individuals can diversify this risk by buying annuities from several companies, but it's hard enough just to get a retiree to purchase one annuity. Partly, it's because . . .

They're Complicated

There are certain annuities, immediate annuities, deferred annuities, variable and indexed annuities, investment-linked annuities, joint and survivor annuities, fixed guarantees, contingent guarantees, annuities with floors or caps (or both), benefits that increase periodically at various high-water marks, sliding surrender scales, contingent protection, bundled life insurance, various degrees of inflation protection, annuities with and without (contingent) withdrawal penalties, and so on.⁵³ Annuities are really complicated.

"There is almost no investor capable of making an informed choice about this," says a director for the Consumer Federation of America.⁵⁴ The people selling annuities have terrible reputations, and some deserve them. "If you need to act in the customers' best interest," says a former SEC official, "you can't sell this crap."

The closest annuities to those in academic life-cycle models are "single premium immediate annuities," which investors buy at a single point in time with their retirement savings.⁵⁵ These investors then receive payments for the duration of their lives.

Bad Deals

Not only are these complicated products very far from the nice, clean products that academics treat in their life-cycle models, they can be much more expensive

⁵²Quotation and details are from Mider, Z. R., "Apollo-to-Goldman Embracing Insurers Spurs State Concerns," Bloomberg, April 22, 2013.

⁵³Obfuscation is in the interest of the general asset management industry, as Carlin and Manso (2011) show formally.

⁵⁴Quotations from Olen (2012), who provides a blistering critique of this industry.

⁵⁵The new generation of literature on annuities explores deferred and index annuities, like Milevsky (2005), Gong and Webb (2010), and Maurer et al. (2013).